

Decision Matrix

Who owns what, who provides input, and how decisions move through 4orm

Version 15 - INTERNAL | 2026-07-08 | Unit 400, 718 8 Ave SW, Calgary, AB T2P 1H3 | compliance@4ormfinance.com

Purpose

This document sets out who has authority to decide what at 4orm Finance Inc., and how each decision moves through the organization. It has two layers.

Layer 1 (The Covenant) is the corporate-governance framework: which decisions require Founder Consent, which require a shareholder vote (and at what threshold), which sit with the Board, and which sit with the CEO.

Layer 2 (Operational Decision Tables) documents specific operational decisions across the areas the Company works in each day. Each decision has a named Owner (accountable), named Input (consulted), and named Informed parties. The Owner has the final decision.

Where a Layer 1 tier applies to a Layer 2 decision, the tier prevails; the operational table describes how the decision gets prepared and who supports it.

Role Key

The Owner, Input, and Informed columns refer to the following roles under the v13 corporate structure:

- CEO — Chad R. Johnston. Founder, President, and Chairman of the Board through the pre-Series A stage.
- CMO — Kevin Wong. Co-Founder, Go-to-Market Strategy. Owns brand, marketing, and public communication.
- CTO — to be hired in Phase 1. Owns technology direction and delivery.
- Head Architect — currently the role held by Zed (also an Advisory Council seat). Owns technical architecture in support of the CTO.
- CCO — Chief Compliance Officer, to be hired at seed close. Owns compliance, regulatory filings, and non-judicial data-request handling.
- CFO — Fractional CFO in Phase 1; full-time CFO from seed close. Owns finance, budgeting, treasury, grant applications, and SR&ED.
- Founding Capital Markets Advisor — Bruce Fair (via Mench Capital). Input on capital raise, investor sequencing, and bank counterparty introductions.
- Advisory Council — four seats: Don Hickling (also Founding Angel), James Atherton, Dean McCall, Zed. Referred to collectively as "Advisory Council" in the Owner and Input columns.
- Founders — Chad and Kevin acting together as co-founders. Referred to as "Founders" where a joint decision is expected.
- Board — pre-Series A: Chad (Chairman with tie-breaking vote), Kevin, one Independent Director (mutually agreed at pre-seed close). See Layer 1 Tier 4 for expansion at seed and Series A.

Layer 1: The Covenant

These tiers are constitutional. They prevail over any Layer 2 operational decision table.

Tier 1 — Founder Consent Required (Chad, in writing)

The following matters cannot proceed without Chad's specific written consent for so long as he holds not less than 5% of outstanding shares:

- Sale of substantially all assets or change of control.
- Amendment of the Mission Anchor or any operative Mission Anchor provision.
- Change of business or exit from tokenized settlement infrastructure.
- Additional share issuances above 5% of outstanding shares in any 12-month period.
- Amendment of the Articles of Incorporation.
- Related-party transactions above \$50,000 CAD.
- CEO removal or replacement.
- Winding-up or bankruptcy filing.

Tier 2 — Supermajority Shareholder Vote

- Amendment of Articles: 75% or more shareholder vote plus Founder Consent (Tier 1).
- Amendment of Mission Anchor provisions in the Shareholders' Agreement: 90% or more shareholder vote plus Founder Consent (Tier 1).
- Change of business: 75% or more shareholder vote plus Founder Consent (Tier 1).
- Sale of company: 66.67% or more shareholder vote plus Founder Consent (Tier 1).
- CEO removal: 75% or more shareholder vote AND material cause (fraud, felony conviction, or extreme misconduct materially damaging the Company).

Tier 3 — Ordinary Shareholder Vote (majority)

Routine shareholder matters not designated Tier 1 or Tier 2 pass by ordinary majority of votes cast, subject to the Voting Trust between Chad and Kevin (Kevin's shares are voted with Chad until earlier of Series A close or five years from incorporation).

Tier 4 — Board Composition

Pre-Series A composition: 3 seats. Chad (Chairman with tie-breaking vote), Kevin, one Independent Director appointed by mutual agreement of Chad and Kevin.

At seed close composition: 5 seats. Chad appoints 3 (majority, including Chairman), Kevin appoints 1, one Independent Director mutually agreed.

At Series A composition: 7 seats. Chad retains 3 (plurality), Kevin appoints 1, Lead Series A investor appoints 1, other investors appoint 1, one Independent Director mutually agreed.

Governance evolution: Chad currently holds Founder, CEO, President, and Chairman roles. The Board reviews governance structure at each major financing milestone (seed, Series A, and beyond) and adjusts to match the Company's scale, board composition, and institutional investor expectations. Separation of Chairman and CEO or Lead Independent Director designation are among the options the Board considers at each such review.

Tier 5 — CEO Operational Authority

The CEO has ordinary operational authority for hiring, firing, budgeting within board-approved plan, product roadmap, contracting within delegated limits, and all other day-to-day matters not reserved to the Board or the shareholders.

Layer 2: Operational Decision Tables

These tables document who is accountable for each operational decision, who is consulted before the decision is made, and who is informed after. The Owner has the final decision. Empty cells indicate no formal role for that decision.

1. Product and Engineering

Decisions about what 4orm builds, in what order, and on what infrastructure.

Decision	Owner (Accountable)	Input (Consulted)	Informed	Notes
Product roadmap and prioritization	CTO	CEO, Head Architect, CMO	Board, Advisory Council	CTO owns weekly and quarterly roadmap; CEO signs off on strategic shifts.
Technical architecture (chain, ledger, settlement)	CTO	Head Architect, CEO	Board, Advisory Council	Hyperledger Besu Phase 1-3; 4orm Native Chain Phase 4. Chain abstraction layer required Phase 1.
MVP feature scope (Phase 1 signal)	CTO	CEO, Head Architect	Board	Categorical ledger + settlement orchestration + 2 MOU counterparties.
Blockchain infrastructure vendor (nodes, RPC)	CTO	Head Architect, CEO	CEO, Board	Chainstack, Alchemy, or self-hosted.
Custody vendor selection	CTO	CEO, Advisory Council	Board	Phase 2; qualified Canadian digital asset custodian (unnamed).
KYC/AML vendor selection	CTO	CEO, CCO	Board	Phase 2; iComply, Trulioo, or Sumsub.
Security audit provider selection	CTO	CEO	Board	Trail of Bits or ConsenSys Diligence; Phase 2 timing.
SPEER Engineering scope and toggle	CEO	CTO, Head Architect	Board	\$317,304 contract; toggled ON/OFF via pro forma Control Panel.
Development platform tooling	CTO	Head Architect	CEO	GitHub Copilot, Cursor, Snyk, Datadog.
Cloud infrastructure (AWS Canada central-1)	CTO	Head Architect	CEO	Alberta-hosted, Canadian data sovereignty.
Product launch timing	CEO	CTO, CMO	Board, Advisory Council	Target: product in market 12-18 months post-seed.

2. Capital and Fundraising

Decisions about how, from whom, and on what terms 4orm raises capital. Governed by the Capital Raise Compensation Policy.

Decision	Owner (Accountable)	Input (Consulted)	Informed	Notes
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Pre-seed round structure and unit terms	CEO	Bruce, Advisory Council	Board, Advisory Council	See Pre-Seed Round Structure Recommendations.
Pre-seed unit pricing and valuation	CEO	Bruce, Advisory Council	Board	\$0.60 common at \$12M pre-money per current model.
Investor selection (lead)	CEO	Bruce, Advisory Council	Board	Target leads: BDC Seed Venture Fund, Golden Ventures, Version One, Panache.
Investor selection (angels and family offices)	CEO	Bruce, Advisory Council	Board	Bruce orchestrates via Mench Pool + Company Pool per Mench Advisor Agreement.
Term sheet negotiation	CEO	Bruce, Advisory Council	Board	Chad negotiates and closes; Bruce orchestrates.
Capital tranche receipt and use	CEO	CFO	Board, Advisory Council	Triggers cash retainer payments per advisor letters (Dean, Kevin).
Convertible note or SAFE terms	CEO	Bruce, Advisory Council	Board	Only if used; NI 45-106 accredited exemption applies.
Seed round timing and structure	CEO	Bruce, CTO, Advisory Council	Board, Advisory Council	Trigger: proof of architecture + 2 MOUs + Alberta Sandbox admission.
Grant applications (SR&ED, IRAP, Alberta Innovates)	CFO	CEO, CTO	Board	SR&ED enhanced 35% on first \$6M R&D.
SR&ED advance financing (Boast, Easily, Venbridge)	CFO	CEO	Board	Only after fiscal year R&D booked.
Capital-raise compensation to Bruce (via Milestone Agreement)	CEO	Bruce, Advisory Council	Board	Structured under Track C or issuer-officer path per Capital Raise Compensation Policy.
Capital Raise Compensation Policy amendments	CEO	Advisory Council	Board, Advisory Council	Compliance rigor with NI 31-103, ASC BO 31-536.

3. People and Hiring

Decisions about who joins 4orm, in what role, and on what terms.

Decision	Owner (Accountable)	Input (Consulted)	Informed	Notes
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CTO hire	CEO	Advisory Council, Head Architect	Board	Dean McCall CTO Placement Success Fee applies (Advisory Council seat).
CCO hire	CEO	Advisory Council, CTO	Board	Seed close timing; part of CRO application prep.
General Counsel or fractional GC engagement	CEO	Advisory Council	Board	Fractional retainer until Series A.
CFO transition (fractional to full-time)	CEO	CFO, Board	Board	Full-time hire at seed close.
Engineering hires (backend, smart contract, DevOps)	CTO	Head Architect	CEO	Post-close; per pro forma Team Roadmap.
Advisor grants (0.10% to 1.00% range)	CEO	Advisory Council	Board	Structure per Memorandum vesting framework: 24-month monthly, secured-at-signing tranche.
Advisory Council appointments (new seats)	CEO	Advisory Council	Board	0.25% per seat; 4 seats currently filled.
Employee equity grants (post-close)	CEO	CFO, Advisory Council	Board	Draw from Team Pool (12% / 2,400,000 shares).
Compensation ranges by role	CEO	CFO	Board	Aligned to pro forma OpEx assumptions.
Termination for cause	CEO	Advisory Council	Board	Follow Founders' Voting Agreement + Advisor Agreements for-cause definitions.
Termination without cause	CEO	Advisory Council, CMO	Board	Vesting floor and vested-equity treatment apply per each agreement. CMO consulted as co-founder.
Contractor and consultant engagements	CEO	CTO, CFO	Board	Includes SPEER Engineering, external audit, vendors.

4. Compliance and Regulatory

Decisions about how 4orm engages with regulators, files, and stays compliant. Alberta-primary; ASC as primary regulator. CCO owns compliance execution.

Decision	Owner (Accountable)	Input (Consulted)	Informed	Notes
Alberta Sandbox	CCO	CEO, Advisory Council,	Board, Advisory Council	Phase 1 milestone; ~\$50K

admission application		CTO		legal prep budgeted. Owned by CCO or legal team.
CIRO Digital Asset Custody Framework application	CCO	CEO, Advisory Council	Board, Advisory Council	Phase 2; ~\$250K legal + \$100K first-year cost. Owned by CCO or legal team.
Form 45-106F1 filing (ASC and OSC co-filing)	CCO	CEO, Advisory Council	Board	Within 10 days of first pre-seed distribution.
FINTRAC registration	CCO	CEO, Advisory Council	Board	Prior to commencing regulated activity. Legal counsel supports.
Legal counsel selection	CEO	CMO, Advisory Council	Board	Owner has final decision. Osler currently on file for Alberta; Fasken for BC.
Patent provisional filings (KYC + settlement concepts)	CEO	CTO, Advisory Council	Board	\$15K Phase 1 budget; 2-3 filings via Smart & Biggar or Bereskin & Parr.
Mission Anchor Compliance Report (annual)	CEO	CCO, Advisory Council	All shareholders, public	Published 90 days after fiscal year end.
Non-judicial data request handling	CCO	Advisory Council	Board, Advisory Council	Notice-and-cure + judicial order required per Mission Anchor.
Regulator engagement (ASC, CIRO, CSA, OSC)	CCO	CEO, Advisory Council	Board	CEO is primary front-line contact; CCO owns process and prep.
Whistleblower report handling	CCO	Advisory Council, Board	Board	Anti-retaliation per Mission Anchor Section 8.

5. Partnerships and Business Development

Decisions about bank counterparties, vendors, ecosystem partners, and strategic relationships.

Decision	Owner (Accountable)	Input (Consulted)	Informed	Notes
Bank counterparty MOU selection (ATB, BVCU, Vancity, Servus)	CEO	Bruce, Advisory Council	Board	Phase 1 signal: 2 MOUs targeted.
Bank counterparty MOU negotiation	CEO	Bruce, CTO, Advisory Council	Board, Advisory Council	MOU terms are CEO-owned.
Custody partner selection and terms	CEO	CTO, Advisory Council	Board	Phase 2; qualified Canadian custodian.
EMD partnership (Atlas One or equivalent)	CEO	Bruce, Advisory Council	Board, Advisory Council	Track C capital-raise + platform-side both.

KYC vendor partnership terms	CTO	CEO, CCO	Board	Phase 2 seed timing.
Strategic partnerships (Bank of Canada, CIRO working groups)	CEO	CCO, Advisory Council	Board, Advisory Council	Regulatory alignment posture.
Ecosystem partnerships (Polymesh, Tetra Trust, etc.)	CEO	CTO	Board	Case-by-case; Phase 2 optionality.
Vendor procurement above \$50K	CEO	CFO	Board	Tier 1 governance applies if related-party.
Vendor procurement below \$50K	CEO or CTO	CFO	Board (quarterly)	Delegated authority.

6. Marketing, Brand, and Public Representation

Decisions about how 4orm shows up publicly. CMO owns brand and go-to-market execution; CEO signs off on strategic and regulatory-sensitive communications.

Decision	Owner (Accountable)	Input (Consulted)	Informed	Notes
Website content strategy (4ormfinance.com, 4ormdr.com)	CMO	CEO, Advisory Council	Board	Alberta-only registration language, no bank-partnership implications.
Brand identity, positioning, visual system	Founders	Advisory Council	Board	Chad and Kevin decide together.
Marketing campaigns and channels	CMO	CEO	Board, Advisory Council	CMO leads.
Data room content and structure	CEO	CMO, Bruce, Advisory Council	Board, Advisory Council	CEO owns; CMO executes.
Investor materials (pitch deck, one-pagers)	CEO	Bruce, CMO, Advisory Council	Board	CEO approves final content.
Press releases and media strategy	CMO	CEO, Advisory Council	Board	Line-opening posture: here to clear our name.
Public statements about regulatory posture	CMO	CCO, CEO	Board	CEO approves any statement mentioning regulators.
Public statements about bank counterparties	CMO	CEO, CCO	Board	CEO approves; no naming of prospective counterparties without written permission.
Conference and event participation	CMO	CEO	Board	Speaking slots require CEO approval.
Social media posture (LinkedIn, X)	CMO	CEO	Board	Founders and officers follow Mission Anchor Section 8 conduct standards.
Public research publication (whitepapers, KCS Briefs)	CMO	CEO	Board, Advisory Council	KCS Capital publishes; 4orm named.

7. Research and Market Intelligence

Decisions about what 4orm studies, learns, and publishes.

Decision	Owner (Accountable)	Input (Consulted)	Informed	Notes
Competitive intelligence (regulated fintech, tokenization)	CEO	CMO, Advisory Council	Board	Feeds pro forma assumptions.
RWA (real-world asset) structuring research	CEO	CTO, Advisory Council	Board	Advisory Council provides RWA domain input.
Market sizing and TAM analysis	CMO	CEO	Board	Feeds pro forma assumptions; CMO owns, CEO input, owner has final decision.
Regulatory horizon scanning (CIRO, CSA, FINTRAC)	CCO	CEO, Advisory Council	Board, Advisory Council	Advisory Council monitors regulatory shifts.
Peer and comparable analysis (Cybrid, Tetra, Fnality)	CEO	Bruce, Advisory Council	Board	Feeds pre-seed and seed pricing.

8. Financial and Operational

Decisions about budgeting, banking, treasury, and office operations. CFO owns execution under CEO's Tier 5 authority.

Decision	Owner (Accountable)	Input (Consulted)	Informed	Notes
Annual budget approval	CEO	CFO, Board	Board	Per pro forma model.
Budget reallocation within board-approved plan	CEO	CFO	Board (quarterly)	Tier 5 CEO authority.
Bank account opening	CEO	CFO	Board	First Board Meeting resolution.
Signing authority on cheques	CEO plus CFO or CMO	Board	Board	Two-signature policy above \$10K.
Corporate insurance (D&O, E&O, Cyber)	CEO	CFO, Advisory Council	Board	\$30K/half in Phase 1 per pro forma.
Audit and accounting firm selection (MNP, BDO, Grant Thornton)	CEO	CFO	Board	Selection pre-Series A; MNP tentative.
Office lease (Calgary HQ)	CEO	CFO	Board	Unit 400, 718 8 Ave SW, T2P 1H3.
Treasury and cash management	CFO	CEO	Board	Standard prudence; no speculation.
Related-party transactions above \$50,000	Tier 1 governance applies	Advisory Council, Board	Board	Requires Chad written consent per Tier 1.
Related-party transactions below \$50,000	CEO	CFO, Advisory Council	Board (quarterly)	Disclosed and delegated.

Advisory Council Role

The Advisory Council (Don Hickling, James Atherton, Dean McCall, Zed) is a milestone-review body. It does not have shareholder-vote authority and does not sit on the Board. Its function is defined below.

Milestones the Advisory Council reviews

- Pre-seed close: readiness, cap table integrity, term sheet reasonableness, regulatory posture.
- Alberta Sandbox admission: application readiness, regulator engagement plan.
- First MOU signed with an FI counterparty: commercial terms, regulatory implications, follow-through plan.
- CTO placement: final candidate presented for input; final call remains with CEO.
- CIRO application filing: readiness, operational maturity, compliance stack.
- Seed round close: term sheet review, dilution math, board composition changes.
- Series A close: term sheet review, board composition changes, growth plan.
- Any Mission Anchor amendment or interpretation dispute.
- Chairman and CEO role separation timing (per Tier 4 governance evolution note).

Council decision-making protocol

The Council convenes monthly (or on-demand for milestone reviews). Council decisions are advisory to the Board and mandatory checkpoints for the milestones enumerated above, meaning the CEO will present each milestone to the Council for review before proceeding, and will consider Council input in good faith. The Council does not have veto power; the decision remains with the CEO and, where applicable, the Board.

How a Decision Flows

A typical decision flows through 4orm as follows:

1. The Owner identifies the decision from the Operational Decision Tables above.
2. The Owner consults the Input parties (written brief or working session).
3. Where a Layer 1 tier applies, the Owner escalates: Tier 1 requires Chad's written consent; Tier 2 requires a shareholder vote; Tier 4 requires a Board vote.
4. Where a milestone applies (Advisory Council trigger), the Owner presents to the Council for review.
5. The Owner makes the decision, subject to any consent or vote required. The Owner has the final decision.
6. The Owner informs the Informed parties in writing (weekly CEO update, monthly Council update, or quarterly Board update as appropriate).
7. The decision is documented, dated, and filed in the Company's decision log.

Notes

- This Decision Matrix is a living document. It is updated as roles evolve (CTO hire, CCO hire at seed, Independent Director additions, Chairman and CEO role separation).
- Only Bruce Fair (Founding Capital Markets Advisor via Mench Capital) is named individually in Owner and Input columns. All other individuals are referenced by role (CEO, CMO, CTO, CCO, CFO, Head Architect) or as "Advisory Council" or "Founders."
- The Fractional CFO role delegates authority for financial operations within the CEO's Tier 5 authority. It transitions to full-time CFO at seed close.
- The Chief Compliance Officer (CCO) is hired at seed close as part of the CIRO application preparation. Until then, CEO and Advisory Council carry compliance decisions with legal counsel support.
- Recognition equity holders (Louise Royer and other founding contributors) do not appear as Owners or Inputs on operational decisions; they are informed as shareholders at ordinary intervals.
- Governance evolution: Chad currently holds Founder, CEO, President, and Chairman roles. The Board reviews governance structure at each major financing milestone (seed, Series A, and beyond) and adjusts to match the Company's scale, board composition, and institutional investor expectations. Separation of Chairman and CEO or Lead Independent Director designation are among the options the Board considers at each such review.